Inside This Issue

p. 1 The Point of Diminishing Returns in Asset Class Diversification
By Carl Terzer, CapVisor Associates

p. 1 Q3 Economic and Market Review
By Adam Coons, Winthrop Capital Management

p. 8 Short Duration, Underfollowed: A Different Way to Own High Yield for Insurance Portfolios
By Linus Fischer, Concise Capital Management

p. 11 Upcoming Events

The Point of Diminishing Returns in Asset Class Diversification

Introduction

Diversification is a fundamental principle of portfolio management, but its effectiveness depends on the exposures selected—not simply the number of asset classes held. Combining investments with different return drivers can reduce concentration, improve risk-adjusted returns, and create a more resilient portfolio.

In CapVisor's experience, many small to mid-size insurers rely primarily on investment-grade bonds and U.S. large-cap equities. This foundation can support liquidity and capital preservation, yet it often leaves opportunities to improve portfolio efficiency through carefully selected additional exposures.

This concentration is especially pronounced among the smallest insurers. Drawing on the 1994 year-end NAIC report, *The Evolution of Investment Portfolio Asset Allocations in Small U.S. Insurers*, which examined 3,381 companies with less than $250 million in cash and invested assets (of which 2,080, or 61.5%, were P&C insurers), approximate

Continued on page 5

Q3 Economic and Market Review

Key Takeaways

- Growth is stronger than expected. Real GDP accelerated to a 3.4% annualized pace in the third quarter, beating consensus, while unemployment holds near 4.2%. Recession is not our base case for 2027.
- Inflation has re-accelerated. An energy shock tied to the Middle East conflict has pushed headline PCE inflation to 3.6% and producer prices up 6.3% year-over-year. Core inflation remains above 3%, well above the Fed's 2% goal.
- The Fed is back in tightening mode. After September's 25 bp hike to 3.75%–4.00% and an October pause with two hawkish dissents, we expect one more hike in December and a policy rate above 4% for most of 2027.
- Yields are near two-decade highs. The 10-year Treasury touched roughly 5.3% before rallying to about 4.9% in October. We view current levels as an attractive entry point for high-quality income.
- Our positioning: favor the intermediate (3–7 year) part of the curve and high-quality investment grade credit; stay underweight the long end and the lowest-rated high yield issuers.

Economic Backdrop: Strong Growth, Sticky Inflation

The U.S. economy enters year-end on firmer footing than most expected. Real GDP grew at a 3.4% annualized rate in the third quarter, up from 2.2% in the second quarter and ahead of the 3.1% consensus. Healthcare demand from an aging population and AI-related business investment continue to underpin activity. The Fed raised its 2026 and 2027 growth forecasts to 2.3%.

Beneath the headline, the consumer is starting to feel the squeeze. Real disposable income

Continued on page 2

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Q3 Economic and Market Review

fell 0.3% in September and the personal saving rate slipped to 3.8%, suggesting households are drawing down savings to keep pace with higher prices. The labor market remains resilient: unemployment was 4.2% in September, labor force participation recovered to 61.8%. Friday's October jobs report will be a key input for the Fed's December decision.

Inflation is the problem. Supply disruptions from the Middle East conflict have driven U.S. diesel prices up roughly 70% over the past year to $6.38 per gallon, with gasoline up 42% to $4.47. Headline PCE inflation rose to 3.6% in September and core PCE to 3.1%. September CPI ran at 3.7%, and producer prices surged 6.3% year-over-year, the fastest pace since December 2022, with core PPI at 5.0%. We expect inflation to stay elevated into early 2027 as producer costs pass through and shelter and medical costs remain sticky.

The Fed: Back in Tightening Mode

In September, the Federal Open Market Committee under Chair Kevin Warsh raised the federal funds target by 25 basis points to 3.75%–4.00%, its first hike since 2023, in response to inflation running persistently above target. Sixteen of eighteen participants projected an additional hike before year-end, and the median projection put the year-end policy rate at 4.1%. At its October 28 meeting, the Committee held rates steady in a 10–2 vote, with Cleveland Fed President Beth Hammack and Governor Lisa Cook dissenting in favor of another 25 bp hike. The hawkish dissents suggest the pause was tactical, not a change of direction.

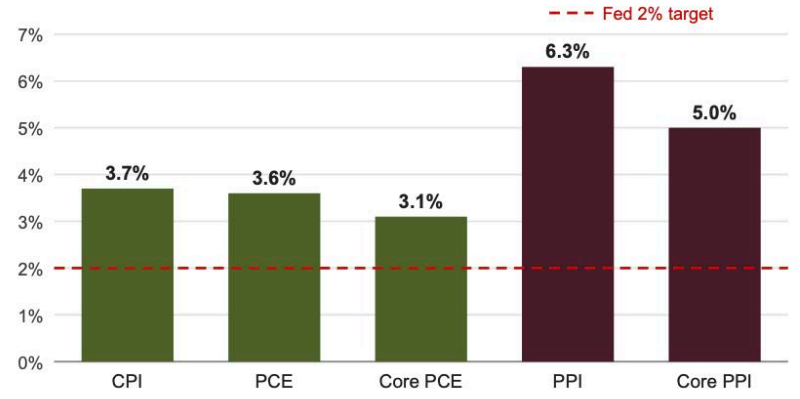
The Fed also announced that, beginning in 2027, one of its eight meetings will be devoted solely to monetary policy strategy with no rate decision, increasing to two in 2028. With Chair Warsh favoring less forward guidance, fewer decision points raise the stakes of each meeting and could add to rate volatility.

Our view: futures markets arepricing a December hike, and we agree that a move to 4.00%–4.25% is the most likely outcome. We then expect the Fed to hold through at least the first half of 2027 while core inflation remains above 3%. Rate cuts are unlikely before late 2027 unless the labor market weakens sharply. The main upside risk is a renewed oil spike above $110 per barrel, which could push the policy rate toward 4.50%–5.00%.

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Inflation Gauges vs. Fed Target

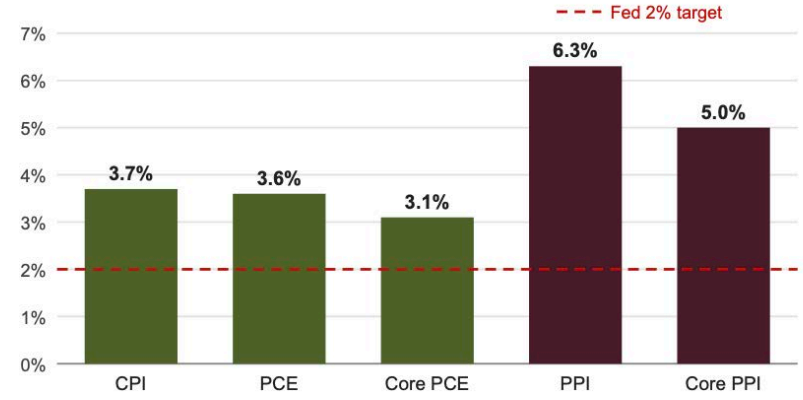
Year-over-year % change, September 2026



Source: BLS, BEA

Inflation Gauges vs. Fed Target

Year-over-year % change, September 2026



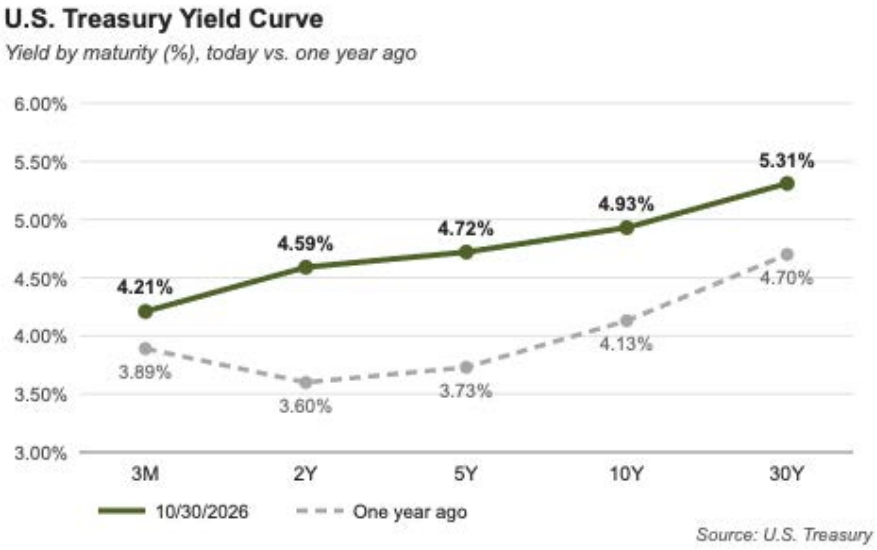
Source: BLS, BEA

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Q3 Economic and Market Review

Treasury Rates: Attractive Levels, Volatile Long End

The third quarter brought a sharp repricing of the Treasury curve. The 10-year yield rose 81 bp, from 4.48% to 5.29%, its highest level in nearly two decades, while the 30-year reached 5.64%, its highest since 2004. Yields rose roughly 75–85 bp across maturities, and the 2s/10s spread widened 11 bp to 41 bp. The renewed energy shock and fiscal concerns pushed investors to demand more compensation for lending long term.



October delivered a meaningful reversal. Disappointing results from major technology companies triggered an equity selloff, and Middle East and midterm-election anxiety added to safe-haven demand. The 10-year yield fell 36 bp during the month to 4.93%, and in the final week of October the curve bull-steepened, with the 2-year at 4.59% and the 30-year at 5.31%. The 10-year real (TIPS) yield of 2.62% offers investors substantial compensation above inflation, while a 10-year breakeven of 2.29% signals the market still expects the Fed to bring inflation down over time.

Looking ahead, we expect the front end to remain anchored by Fed policy, with the 2-year trading in a 4.50%–4.85% range. We see the 10-year trading between 4.75% and 5.25% into 2027, with risks skewed to a modestly steeper curve as term premium stays elevated amid heavy Treasury supply and persistent deficits. Importantly, the curve still offers limited reward for extending duration: the 5-year yields 4.72%, only about 20 bp less than the 10-year and roughly 60 bp less than the 30-year, with far less interest-rate risk. We continue to favor the intermediate part of the curve, which offers the best risk-adjusted compensation.

> **A 10-year breakeven of 2.29% signals the market still expects the Fed to bring inflation down over time.**

Credit Markets: Income Is Attractive, Quality Matters

Investment grade spreads widened 8 bp to 84 bp in the third quarter as record new issuance and surging Treasury yields weighed on the market. Technology companies borrowing to fund AI infrastructure led the supply wave, with August marking the third consecutive month of record issuance. With spreads still near historical tights, there is little room to tighten and considerably more room to widen, particularly if AI-related supply stays heavy following October's weaker technology earnings. Even so, the investment grade index now yields roughly 6%, its highest level since late 2023. We continue to emphasize issuers with fortress balance sheets and strong liquidity.

High yield spreads remained contained for most of the quarter before widening 46 bp to 312 bp as Treasury volatility spiked. Beneath the surface, the lowest-rated borrowers are showing distress: CCC spreads widened more than 200 bp to 1,179 bp, their widest level in three years, and CCC yields have climbed to nearly 17% versus just over 8% for the broader index. We favor higher-quality high yield issuers with strong free cash flow and limited near-term refinancing needs, and we are avoiding the CCC tier.

Continued on page 4

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Q3 Economic and Market Review

2027 Fixed Income Positioning

Segment	View	Rationale
Short Treasuries / cash (0–2 yr)	Neutral	Yields of roughly 4.2%–4.6% pay investors to wait, but reinvestment risk rises once the Fed reaches its peak.
Intermediate Treasuries (3–7 yr)	Overweight	Captures most of the curve's yield with moderate duration; lock in yields before the cycle slows.
Long Treasuries (20–30 yr)	Underweight	Highly sensitive to oil, inflation, and fiscal surprises; term premium does not yet compensate for volatility.
TIPS	Add selectively	A 2.62% real yield and a 2.29% breakeven, below current inflation, offer a low-cost inflation hedge.
Investment grade corporates	Overweight (quality)	Yields near 6%; favor fortress balance sheets and watch heavy AI-related supply.
High yield (BB/B)	Neutral	Yields above 8% are attractive, but selection is critical; favor strong free cash flow.
CCC and distressed	Underweight	Spreads at three-year wides and rising refinancing pressure point to higher defaults.

Risks to Our Outlook

- **Inflation shock and a longer hiking cycle.** If the Middle East conflict pushes oil back above $110 per barrel, the Fed could be forced to take the policy rate to 4.50%–5.00%, raising the risk of a hard landing.
- **Credit market cracks.** Higher rates steepen the refinancing cliff for leveraged borrowers and commercial real estate. We are watching credit spreads closely for signs of default stress.
- **Fiscal pressure and Treasury supply.** Persistent deficits, heavy issuance, and the midterm election outcome could keep term premium elevated and pressure the long end.
- **Margin squeeze.** With producer prices up 6.3%, fourth-quarter earnings will test whether companies can keep passing costs to consumers. A profit contraction would widen credit spreads.
- **De-escalation rally.** A diplomatic resolution with Iran would likely pull oil and yields lower quickly, an argument for locking in today's yields rather than waiting.

Bottom Line

Higher-for-longer has become higher-and-tighter. With 5-year Treasuries near 4.7%, high-quality corporates near 6%, and real yields above 2.5%, bonds are once again a formidable competitor for capital. We recommend investors lock in today's yields in the intermediate part of the curve and in high-quality credit, keep duration near benchmark, and stay disciplined on credit quality as the cycle matures. □

Market data as of October 30, 2026 unless otherwise noted. This commentary reflects the views of Winthrop Capital Management as of the date of publication and is for informational purposes only; it is not investment advice. Past performance is not indicative of future results.

> **Higher-for-longer has become higher-and-tighter**



Adam Coons, CFA Chief Investment Officer sets the firm's investment strategy and process, serves as a lead portfolio manager, and chairs the investment committee, which oversees portfolio management across the firm's institutional, insurance, and private client portfolios.

He has been instrumental in expanding the firm's insurance asset management capabilities, including derivative hedging strategies, capital efficiency models, and regulatory compliance frameworks. Adam serves as lead portfolio manager for all insurance-related strategies, working closely with insurance clients on asset allocation, reinsurance portfolios, and regulatory matters.

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The Point of Diminishing Returns in Asset Class Diversification

allocations of bonds plus common stocks as a share of assets excluding cash and short-term holdings were:

- All small insurers: approximately 95%
- Small P&C insurers: approximately 97%

These figures underscore how heavily many smaller insurers depend on just two core asset classes. While adding more exposures can help, more is not automatically better. Each proposed allocation must justify its contribution after accounting for liquidity, credit quality, fees, regulatory requirements, capital treatment, and operational complexity. The objective is efficient diversification: adding exposures that meaningfully improve the portfolio's ability to meet financial obligations and investment objectives.

What Diversification Can Accomplish

Effective diversification supports several complementary goals:

- Reduce portfolio volatility. Assets that respond differently to economic and market conditions can partially offset one another's fluctuations.
- Improve risk-adjusted returns. A carefully constructed allocation may raise expected returns without a proportionate increase in risk—or reduce risk while preserving expected returns.
- Produce a more stable return stream. Exposure to multiple return drivers can lessen dependence on any single market environment (though diversification cannot guarantee predictable results).
- Moderate drawdowns. Complementary exposures may help limit losses, although correlations often rise during market stress, weakening protection when it is most needed.
- Address inflation sensitivity. Selected exposures can complement nominal bonds when inflation erodes purchasing power; effectiveness depends on the nature of the inflation shock, valuations, and implementation.

For insurers, these benefits must be weighed against claims-paying capacity, surplus protection, and the timing of expected liabilities.

> "The objective is efficient diversification: adding exposures that meaningfully improve the portfolio's ability to meet financial obligations and investment objectives.

Why the Benefits Eventually Diminish

The marginal benefit of an additional asset class depends on its relationship with the existing portfolio, its volatility, and its allocation size. Adding an exposure with genuinely different economic drivers can materially improve diversification. Adding another exposure dominated by the same interest-rate, credit, or equity-market risks may accomplish relatively little.

There is no universally optimal number of asset classes. A portfolio with several carefully selected exposures can be more diversified than one containing numerous overlapping strategies. An allocation too small to affect outcomes may simply add administrative work without meaningful benefits.

Empirical patterns and simulation work commonly show three broad phases:

1. Initial diversification benefits (roughly 3–6 asset classes). Adding the first few low-correlation exposures (for example, high-yield bonds, convertibles, structured products, non-U.S. equities, or other distinct drivers) produces the largest risk reduction. The marginal benefit of each new class is highest in this range.
2. Moderate benefits (around 6–10 asset classes). Risk reduction continues but at a decreasing rate. Most diversification gains have already been captured; new classes must be truly uncorrelated to add meaningful value.
3. Diminishing returns (beyond ~7–10 asset classes). Additional classes provide minimal further risk reduction. Complexity rises

Continued on page 6

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The Point of Diminishing Returns in Asset Class Diversification

without substantial improvement in risk-adjusted returns—the classic "diworsification" problem.

Rather than targeting a fixed count, insurers should ask:

- What distinct risk or return exposure does this investment introduce?
- How does it change total portfolio risk?
- Does the expected benefit justify the additional costs and constraints?
- Will it remain useful under adverse market conditions?

Different Labels Do Not Necessarily Mean Different Risks

Potential additions require a look-through assessment of underlying exposures.

High-yield bonds, leveraged loans, and corporate-credit-oriented CLO tranches may broaden fixed-income opportunities, yet they retain sensitivity to credit conditions and economic growth. Mortgage-backed and commercial mortgage-backed securities can diversify collateral and cash-flow characteristics while still carrying interest-rate, credit, prepayment, or extension risks. Listed equity REITs introduce property-related business exposure but remain publicly traded equities and should not be treated as defensive substitutes for high-quality bonds. Non-U.S. equities and emerging-market investments broaden geographic exposure while introducing varying combinations of equity, sovereign, currency, and liquidity risks.

Private equity and private credit require particular care. Infrequent valuations can make reported volatility and correlations appear lower than the underlying economic risks warrant. Illiquidity, capital commitments, and valuation uncertainty also matter. The relevant question is not whether an investment is labeled an "alternative," but whether it improves the portfolio as a whole.

Empirical Illustration: Simulating the Impact of Diversification

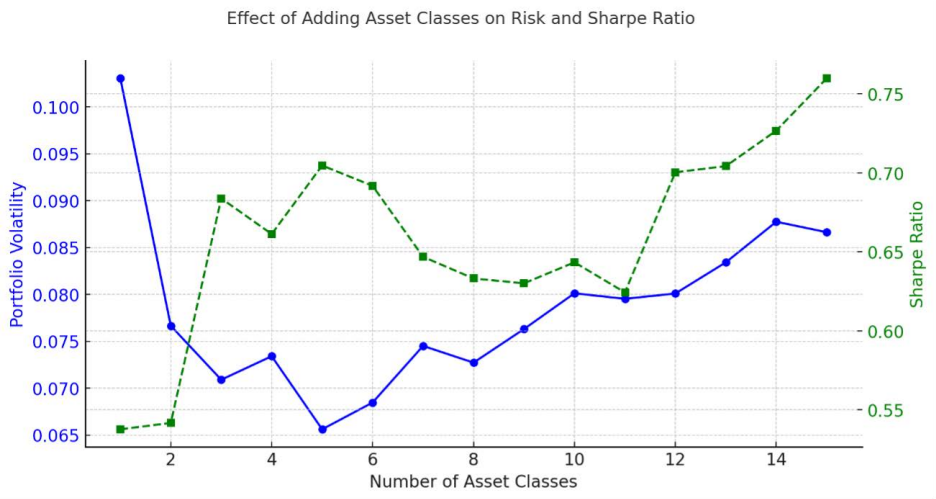
To illustrate the concept, a simulated study examined the effect of progressively adding asset classes. A dataset of 15 hypothetical asset classes with differing return and volatility characteristics was generated. Portfolios were constructed with increasing numbers of classes (from 1 to 15), and portfolio volatility and Sharpe ratio were measured under consistent assumptions.

The resulting chart typically shows portfolio risk (volatility) declining most steeply in the early stages and then flattening, while the Sharpe ratio improves and then plateaus. Key observed patterns include:

- Significant risk reduction in the first 1–5 (or up to ~3–6) asset classes.
- Moderate further gains between roughly 5–10 classes.
- Clear diminishing returns beyond approximately 7 asset classes, where additional holdings add little benefit relative to the added complexity.

These results are illustrative only. They depend on the assumed returns, correlations, allocation rules, and constraints. They should not be read as establishing that three to six asset classes are universally optimal, nor that benefits necessarily disappear beyond seven. Their purpose is to demonstrate the concept of diminishing marginal returns,

Continued on page 7



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The Point of Diminishing Returns in Asset Class Diversification

not to prescribe a specific allocation.

Using SAA Optimization to Evaluate Additional Asset Classes

Strategic asset allocation (SAA) optimization is a useful decision-support tool for examining the effects of adding asset classes. Analysis should begin with the current allocation and compare it with feasible alternatives using consistent assumptions for expected returns, volatility, and correlations. It can help evaluate:

- Changes in expected return and portfolio volatility.
- The incremental contribution of each proposed exposure.
- Trade-offs among liquidity, income, drawdown risk, and surplus growth.
- Whether benefits remain meaningful at practical allocation sizes.

For insurers, optimization must incorporate liability characteristics, liquidity needs, credit standards, concentration limits, and investment-policy restrictions. An optimized allocation is not a forecast or an instruction to invest. Results depend heavily on assumptions; sensitivity analysis and alternative economic scenarios help determine whether a proposed improvement is robust or merely an artifact of the model.

Evaluating RBC and Other Capital Implications

Any assessment of additional asset classes should include their potential risk-based capital (RBC) impact where applicable. An allocation that improves expected returns or modeled diversification may still be unattractive if it materially increases required capital, reduces capital flexibility, or creates unfavorable regulatory treatment.

Analysis should consider classification, credit quality, structure, applicable capital charges, concentration effects, and treatment within the insurer's overall capital calculation. Not all captives and insurers operate under identical RBC frameworks; domiciliary requirements, permitted-investment rules, and other solvency measures must guide the evaluation. The decision should reflect both investment efficiency and capital efficiency.

> Analysis should consider classification, credit quality, structure, applicable capital charges, concentration effects, and treatment within the insurer's overall capital calculation.

Stress Testing Before Implementation

Proposed allocations should undergo stress testing before implementation. Relevant scenarios may include:

- Rapid increases in interest rates or inflation.
- Recession, equity declines, and widening credit spreads.
- Commercial real-estate deterioration.
- Currency depreciation.
- Reduced market liquidity or delayed private-market distributions.
- Unexpected claims payments coinciding with investment losses.

Testing should examine asset values, available liquidity, surplus, and applicable capital measures. Historical scenarios should be supplemented with hypothetical shocks, including simultaneous losses across assets normally assumed to diversify one another.

CapVisor's Perspective

For small to mid-size insurers, opportunities often exist to improve portfolios concentrated in a limited set of exposures. The goal, however, is not more asset classes for their own sake.

Research and practical experience indicate that the most significant risk-reduction benefits typically occur when moving beyond a pure stocks-and-bonds foundation into the range of roughly 3–6 carefully chosen asset classes; beyond about seven, incremental gains diminish while complexity rises.

CapVisor's approach combines SAA analysis, capital considerations, liquidity assessment, and stress testing to evaluate whether proposed additions offer meaningful benefits. The result should be a practical, defensible allocation aligned with the insurer's liabilities, financial strength, and governance capabilities—focused on genuine diversification rather than simply increasing the number of holdings. □

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Short Duration, Underfollowed: A Different Way to Own High Yield for Insurance Portfolios

High yield bonds have earned a place in many insurance portfolios. They offer income above investment grade credit, and over long periods much of their return has come from coupons rather than price gains. As the chart below shows, they have historically sat between investment grade bonds and equities, offering higher returns than the former with about half the volatility of the latter. But high yield is not one thing. For insurers focused on steady income, capital efficiency and balance sheet stability, how an allocation is built can matter as much as the decision to own the asset class.

How most high yield is managed

Much of the money in US high yield sits with large mutual funds, benchmark-oriented products and ETFs, and their size shapes how they invest. These portfolios commonly hold hundreds of line items, and each position needs to be big enough to matter and easy to buy and sell in size. That pulls them toward the largest issuers and deals. HYG, one of the most widely held high yield ETFs, excludes bonds with less than $400 million outstanding.

The result is a lot of common ground. Large portfolios tend to own many of the same bonds as the benchmark and as each other, so their returns move closely with the market. When spreads tighten, they do well. When spreads widen, they fall with it.

Fund flows add another layer. When investors pull money, managers may have to sell the same widely held bonds at the same time, and prices can reflect flows as much as credit.

This is beta. It offers broad, liquid exposure, but it leaves the smaller end of the market less efficiently priced. That is where a specialist approach makes a difference.

The overlooked end of the market

Below the largest deals sits a wide universe of smaller issues, many from established companies with sound businesses and reasonable balance sheets. What keeps them off most investors' screens is not their credit quality, but the work required to own them.

These issuers often have little or no sell-side coverage, so an investor has to build its own view in house, from scratch. Information is harder to access, and time with management usually has to be arranged directly. Trading takes more effort too, relying on dealer relationships and patience.

For a large fund, the math does not work. A book of several hundred positions leaves little time for this depth of research on each one, and a small bond cannot absorb a position big enough to move the needle. The effort outweighs the payoff.

This part of the market is therefore left to fewer buyers. In our view, that is where pricing can be less efficient, and investors willing to do the credit work may find higher yields for comparable credit risk.

Research as the engine

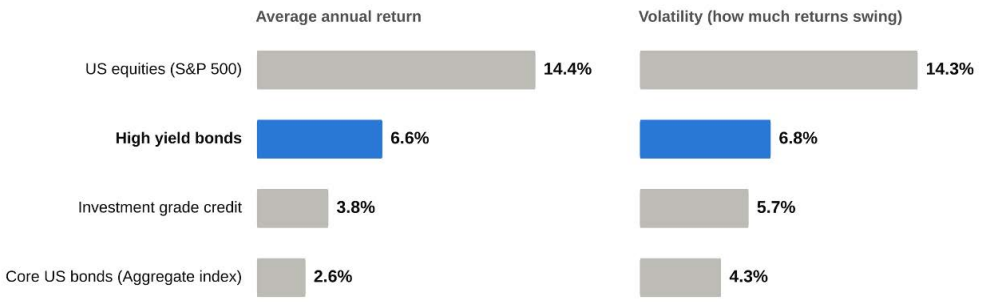
To capture these inefficiencies, a portfolio has to be built differently. Rather than holding hundreds of bonds, a specialist approach can run a more concentrated book. It is still diversified across issuers and industries, but not so broadly that each position becomes too small to matter.

That only works if the investor knows each company inside and out. The analysis covers cash flow and the balance sheet: whether the business can comfortably service its debt, how that holds up in a

Continued on page 9

Since 2010, high yield has earned far more than investment grade bonds, with less than half the volatility of stocks

Average annual returns and volatility, 2010 to September 2026.



Source: Barclays Research, US High Yield Corporate Update, September 2026; Bloomberg Indices (Bloomberg US High Yield, US Credit and US Aggregate indices; S&P 500). Volatility = annualized standard deviation of monthly returns. Past performance is not indicative of future results. High yield bonds carry more credit risk than investment grade.

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Short Duration, Underfollowed: A Different Way to Own High Yield for Insurance Portfolios

downturn, and what the path to repaying or refinancing looks like. Just as important is where the bonds sit in the capital structure. Senior secured positions sit at the top, with other creditors and equity beneath them absorbing losses first. The larger that cushion, the stronger the protection. Covenants and bond documents matter too. The work draws on every available source, from financial statements and earnings calls to industry data and direct conversations with management, including site visits where it helps.

Each position is typically backed by a detailed written investment case and an in-house financial model, stress-tested against weaker scenarios to see how much room the company has before bondholders are at risk. The work does not stop at purchase. Quarterly results, refinancings and management changes are tracked, and the thesis is updated as the picture evolves.

The mindset throughout is defensive. The first question is always what can go wrong, and how well the downside is protected if it does. The goal is not to trade bonds for short-term price moves or to take on distressed situations, but to collect contractual interest reliably until the bond matures or is called.

Execution is its own discipline. Large funds can build positions through the new-issue market. In smaller issues, bonds often have to be sourced in the secondary market, sometimes in small or uneven lots, and accumulated over time through long-standing relationships with dealers who know what a buyer is looking for.

That is what separates a specialist approach from broad high yield investing. A generalist manager can run a diversified high yield portfolio, where the task is largely portfolio management against a benchmark. Owning smaller, underfollowed issues is a research task first, and it takes a team built for that work.

Why maturity matters

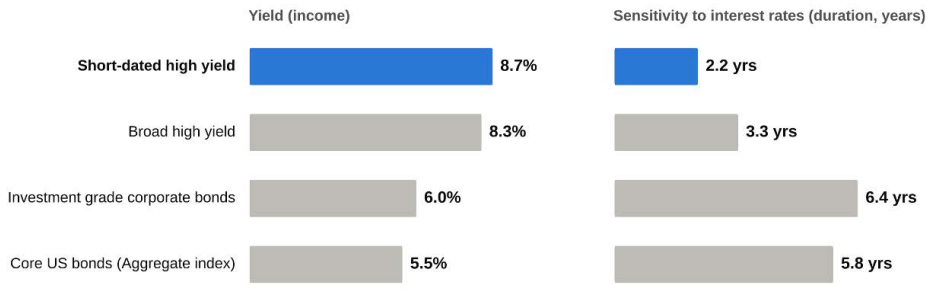
For a high yield portfolio, the maturity profile drives much of the risk that has little to do with credit quality. A bond with two to three years to run carries a fraction of the interest rate risk of a longer one, meaning its price moves far less when rates change. It also carries a fraction of the spread risk, so its price is less affected when credit spreads widen, because the wider spread only applies over the shorter time left until repayment. As a bond approaches maturity, its price converges toward face value. For a creditworthy issuer, that pull to par is a steady source of return and a stabilizer in volatile markets. The chart below shows how short-dated high yield compares with other parts of the bond market on income and sensitivity to interest rates.

Maturity also sharpens the research. When a bond matures in two years, the central question is whether the company can repay or refinance it within that window, a narrower and more answerable question than whether a business will be

Continued on page 10

Short-dated high yield: the most income, with the least sensitivity to rates

Higher yield means more income. Lower duration means prices move less when interest rates change.



Source: State Street Global Advisors, index characteristics as of Oct 13-14, 2026 (Bloomberg US High Yield 350mn Cash Pay 0-5 Yr 2% Capped, Bloomberg High Yield Very Liquid, Bloomberg US Corporate and Bloomberg US Aggregate indices). Yield to worst and option-adjusted duration. Figures change daily. High yield bonds carry more credit risk than investment grade.

Sensitivity to interest rates is measured by duration, expressed in years. For example, a portfolio with a duration of 2.2 years would be expected to change in market value by approximately 2.2% in the opposite direction of every 1% change in interest rates. As a result, a short-duration high-yield portfolio is far less sensitive to interest-rate movements than a core bond portfolio, which would be expected to move approximately 5.8% in market value, as shown above.

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Short Duration, Underfollowed: A Different Way to Own High Yield for Insurance Portfolios

healthy in eight or ten years. Maturities and calls act as catalysts for the return of principal.

A short maturity profile also means a portfolio is constantly renewing itself. Bonds mature or are called throughout the year, returning cash that can be put back to work at current yields. When rates rise, the portfolio's yield can reset higher quickly. When prices fall, maturing proceeds can be used to add to existing holdings or buy new ones at more attractive levels, without having to sell other positions at depressed prices.

Why it may suit insurers

Several features of this approach line up with insurers' priorities.

Income comes first. Insurers generally rely on predictable investment income, and a strategy that seeks to earn most of its return from contractual coupons, rather than from spreads tightening or prices rising, is aligned with that goal.

Balance sheet stability matters too. Depending on the insurer and its accounting basis, market value swings in below investment grade holdings can show up in reported surplus or equity. Lower duration means smaller price moves, which may reduce that volatility.

Capital is the third consideration. Risk-based capital charges rise as NAIC designations fall, so downgrade risk carries a direct cost. A short maturity profile limits how long each holding is exposed to potential migration, and research focused on near-term repayment is designed to spot deterioration early.

Finally, liquidity. A short-dated portfolio returns principal regularly, and that cash can be matched against expected liability outflows or reinvested, reducing any need to sell into a weak market to meet obligations.

A complement, not a replacement

For most insurers, this approach is not a substitute for a core fixed income allocation. Its value may be greatest alongside one.

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A traditional high yield allocation is built largely from the same large, widely held bonds that dominate the benchmark. A specialist short duration strategy looks quite different. Many of its holdings are too small to qualify for the major indices, so overlap with other high yield portfolios is typically low. Together with shorter maturities and a coupon-driven return, that may result in lower correlation with benchmark-oriented high yield.

That gives it a role in two places. Within a high yield allocation, it diversifies the bucket rather than duplicating it. Alongside an investment grade core, it adds income without adding much interest rate sensitivity. Either way, it may improve the risk-adjusted profile of the overall investment program.

Conclusion

How high yield exposure is built makes a real difference. Benchmark-oriented strategies provide broad, liquid access to the market. A specialist approach focused on smaller, underfollowed issues, short maturities and rigorous credit work is designed to offer something better suited to insurers: potentially higher yields for comparable credit risk, lower sensitivity to rates and spreads, and income earned more steadily. For insurers looking to add income with discipline, it deserves a closer look. □



Linus Fischer is Head of Business Development at Concise Capital Management, a Miami-based manager focused on short duration high yield credit, with approximately $950 million in assets under management. The strategy aims to earn consistent, high interest income while limiting volatility and drawdowns.

Linus leads the firm’s business development and investor relations efforts, including its separately managed account business, which totals approximately $500 million for pension funds and insurance companies. He holds an MBA, and works primarily with institutional investors across the US, Europe and Latin America.

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Upcoming Events

Carl Terzer and Travis Terzer are returning to Cayman for the Cayman Captive Forum from December 1-3. We look forward to seeing you there!

Carl Terzer is back for his 12th year teaching the ICCIE course he designed, "Investment Basics for Captives."

Join Carl for the course beginning on March 15, 2027, to learn about investment plans, the constituents involved in plan design and in the investment program, the importance of asset liability management, keys to a successful investment program, and more!

Register by March 8: https://iccie.org/course-catalog/investment-basics-for-captives/

Connect with CapVisor on LinkedIn. We share interesting investment information, research, and announcements.



Carl E. Terzer
Principal & Editor in Chief
CapVisor Associates, LLC

Photo Gallery









Top left: Carl Terzer speaking at the NRRA 2026 National Conference in October.

Top right: Travis Terzer and Carl Terzer at the 2026 SCCIA Conference.

Bottom left: Carl Terzer at TCIA's annual conference in October.

Bottom right: Travis Terzer and Carl Terzer exhibiting at VCIA's annual conference.

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